Trustee Savings Banks Act 1964

1964 CHAPTER 4

An Act to make provision concerning the undertaking by a trustee savings bank of a service comprising the operation of current accounts for depositors of money with the bank, and for matters connected therewith.

[27th February 1964]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Power of trustee savings bank to receive deposits of money on current account.

1.—(1) The provisions of the Trustee Savings Banks Act 1954 (hereafter in this Act referred to as " the principal Act ") shall not be construed as preventing a trustee savings bank from having the benefit of that Act by reason only of the acceptance by the bank of ordinary deposits, as defined by that Act, of money to be placed in the books of the bank to the credit of an account (in this Act referred to as a " current account ") opened on the terms that—

(*a*) the money is to be available for payment of any cheque drawn on, or against any other written order given to, the bank by the person in whose name the account stands; and

(*b*) no interest shall be paid by the bank on money standing to the credit of the account.

(2) The matters for which, under section 2 of the principal Act, the rules of a trustee savings bank must expressly provide shall, in the case of a bank by which a service consisting of the operation of current accounts for depositors of money with the bank is provided, include the matters set out in Schedule 1 to this Act.

(3) Hereafter in this Act—

"current account deposit" means an ordinary deposit, as defined by the principal Act, accepted by a trustee savings bank as mentioned in subsection (1) above;

"savings account deposit" means an ordinary deposit as so defined, not being a current account deposit.

"current account service" means such a service as is mentioned in the last foregoing subsection.

Conditions of opening and maintaining current accounts.

2.—(1) A current account shall not be opened in the books of a trustee savings bank in the name of a person except upon a written application by him, and no such application shall be granted unless—

(*a*) it appears to the bank, after undertaking such inquiries as appear to the bank to be necessary, that the applicant is a suitable person to operate a current account; and

(*b*) the applicant has, immediately before the application is granted, a savings account deposit with the bank of not less than such amount as the rules of the bank may provide, or has had, throughout a period ending with the granting of the application and of not less than such length as the said rules may provide, a savings account deposit with the bank.

(2) An application for the opening of a current account in the books of a trustee savings bank must contain a declaration by the applicant that he will not operate the account either wholly or partly as a trade or business account.

(3) A trustee savings bank shall have the right at any time, after giving reasonable notice of its intention so to do, to close any current account standing in the books of the bank; and, if at any time the person in whose name a current account stands in the books of a trustee savings bank operates that account either wholly or partly as a trade or business account, or ceases to have a savings account deposit at the bank, no sums shall after that time be debited by the bank to the current account except in pursuance of instructions to the bank the giving of which appears to the bank to have been initiated before that time, and the bank shall, after giving reasonable notice of its intention so to do, close the current account.

(4) The rules of a bank made for the purposes of paragraph (*b*) of subsection (1) of this section may provide for different amounts and periods of different lengths for different classes of person.

Operation of current accounts.

3.—(1) No sum shall, in pursuance of instructions in that behalf, be debited to the current account of a person at a trustee savings bank, if, on the date on which the instructions are given, the amount of the sum is not ascertained.

(2) No sum shall, in pursuance of instructions in that behalf, be debited to the account of the savings account deposits of a person or the special investments of a person and credited to the current account of that or any other person at the bank, if, on the date on which the instructions are given, the amount of the sum is not ascertained.

(3) No sum, other than a sum due to the bank in respect of a charge duly imposed by virtue of a charges scheme made by the bank under the following provisions of this Act, shall be debited to the current account of a person at a trustee savings bank at any time unless there then stands to the credit of that account an amount not less than that sum.

(4) Section 53(2) of the Bills of Exchange Act 1882 (which provides that in Scotland presentment of a bill of exchange operates as an assignment in favour of the holder of the bill of funds held by the drawee) shall not have effect in relation to funds being savings account deposits or special investments of a person at a trustee savings bank.

Charges schemes for contributing to defrayal of expenses of current account service.

4.—(1) A trustee savings bank shall not provide a current account service unless there is for the time being in force a scheme (hereafter in this Act referred to as a " charges scheme ") made by the bank and approved by the Commissioners for the purpose of securing contributions towards the expenses incurred by the bank in providing that service which are defrayable under this Act.

(2) A trustee savings bank may, by virtue of a charges scheme, impose on persons in whose names current accounts stand in its books charges of such amounts and in respect of such matters as may be specified in the scheme, including, without prejudice to the generality of the provisions of this subsection,—

(*a*) the issue of cheque forms;

(*b*) the use of any instrument requiring the bank to pay sums from moneys standing to the credit of a current account;

(*c*) the carrying out of any transaction made in compliance with an instrument requiring the bank to debit to a current account sums of specified amounts at different times;

(*d*) the maintenance of a current account.

(3) A charges scheme may be varied or revoked by a subsequent scheme made by the bank and approved by the Commissioners.

(4) Before approving a charges scheme made by a bank, the Commissioners must be satisfied that it is reasonable to expect that the aggregate of the following amounts that is to say—

(*a*) the amounts received by the bank in respect of charges imposed by virtue of the scheme;

(*b*) the amount of the interest credited to the account of the bank in the books of the Commissioners under section 3 of the Trustee Savings Banks Act 1958 (hereafter in this Act referred to as "the Act of 1958") in respect of moneys paid into the Fund for the Banks for Savings (hereafter in this Act referred to as "the Fund") and representing current account deposits; and

(*c*) the amount of any other sums paid or credited to the bank so far as, in the opinion of the Commissioners, they represent produce of such deposits;

will be not less than sufficient to meet the expenses mentioned in subsection (1) of this section, taking one year with another.

(5) Approval under this section of a charges scheme may be given subject to such limitations or conditions as the Commissioners think fit.

(6) If a trustee savings bank by which a current account service is provided ceases to provide that service, any sums which, after payment in accordance with the provisions of this Act of the expenses incurred by the bank in providing that service, stand in the books of the bank and represent amounts received by the bank in respect of charges imposed by virtue of a charges scheme made by the bank shall be deemed to be moneys forming part of the assets of the bank in respect of ordinary deposits.

Power of Commissioners to require variation of charges scheme or cesser of current account service.

5. If, at any time, in the case of a trustee savings bank which provides a current account service, the aggregate of the amounts mentioned in section 4(4) of this Act is not sufficient to meet the expenses mentioned in section 4(1) of this Act, and it appears to the Commissioners that the aggregate of those amounts will not be sufficient to defray those expenses, taking one year with another, the Commissioners—

(*a*) unless it appears to them that the charges scheme for the time being in force cannot be so varied as to satisfy them that it will be reasonable to expect that the aggregate of those amounts will be so sufficient taking one year with another, may direct the bank to vary, within such period as may be specified in the direction, that charges scheme so as so to satisfy them; or

(*b*) if it so appears to them, may direct the bank to cease, within such period as may be specified in the direction, to provide a current account service.

Defrayal of expenses of, or ancillary to, current account service.

6.—(1) The expenses incurred by a trustee savings bank during each year ending with the 20th November in providing a current account service, being expenses which in the opinion of the Commissioners are properly so incurred, shall be defrayed,—

(*a*) if those expenses are less than the amounts obtained by way of charges imposed by virtue of a charges scheme made by the bank and not expended by them under this section, out of those amounts; and (*b*) in any other case, to the extent of those amounts, by means thereof, and, to the extent, if any, by which those amounts are insufficient to defray those expenses, as part of the necessary expenses of the bank within the meaning of section 1 of the principal Act.

(2) For the purposes of this Act, there shall be included among the expenses incurred by a bank in providing a current account service—

(*a*) so much of any expenses incurred by the bank which are attributable both to the provision of that service and to other matters as is, in the opinion of the Commissioners, attributable to that service; and

(*b*) any expenses incurred by the bank which, in the opinion of the Commissioners, are calculated to further the effectiveness of that service.

Investment of current account deposits.

7.—(1) Sums of money representing current account deposits which, by virtue of section 25 of the principal Act, the trustees of a trustee savings bank are required to invest under section 26 of that Act, shall be paid into the Fund separately from any other sums so paid for the bank; and the declaration required by the said section 26 to be produced by persons applying to make a payment for a bank into the Fund shall, where the money represents current account deposits, contain a statement of that fact.

(2) The Commissioners shall keep a separate account of sums of money representing current account deposits paid for a bank into the Fund as mentioned in the foregoing subsection.

(3) The power of the Treasury to make an order under section 27(2) of the principal Act fixing the rate of interest carried by a receipt for a payment into the Fund shall include power to fix a rate for a receipt in respect of a payment of a sum of money representing current account deposits different from, but not greater than, that for the time being fixed by such an order for a receipt in respect of a payment of money representing savings account deposits.

(4) In that part of section 1(2) of the Act of 1958 which provides that the rate fixed under section 27(2) of the principal Act shall not apply to banks qualified to participate but not participating in such a scheme as is therein described for mutual assistance between trustee savings banks in the United Kingdom the reference to the rate so fixed shall be construed as a reference to any rate so fixed under the said section 27(2), whether as originally enacted or as extended by the foregoing subsection; and in the case of any such bank as is first mentioned in this subsection the rate of interest to be carried by a receipt for sums of money placed to the credit of the separate account mentioned in subsection (2) above shall, instead of being that directed under the said section 1(2), be such

rate, not exceeding the rate having effect in relation to any such receipt under the said section 27(2) as originally enacted or as so extended as aforesaid, as the Treasury may from time to time direct, having regard in particular to the expenses of the provision by that bank of a current account service.

(5) The fixing of a rate of interest by virtue of either of the two last foregoing subsections shall not be taken to affect—

(*a*) the rate at which interest is to be credited to the Mutual Assistance Account under section 53(2) of the principal Act (which requires such interest to be the like interest as that carried by the account of a trustee savings bank in the books of the Commissioners); or

(*b*) the terms on which assets of a superannuation reserve are to be invested with the Commissioners in pursuance of section 68(3) of the principal Act (which requires such assets to be invested on the same terms as assets invested under section 26 of the principal Act); or

(*c*) the rate at which interest is to be paid by the Commissioners to the account of the Minister of Transport on moneys representing deposits in seamen's savings banks under section 149(2) of the Merchant Shipping Act 1894 (which requires interest to be paid at the same rate as on the money received from trustee savings banks).

Enforcement.

8.—(1) Section 49 of the principal Act (which provides for the appointment by the Inspection Committee of persons to examine, ascertain and report, with respect to each trustee savings bank, whether the bank has complied with the requirements of the principal Act and as to other matters, and confers on the Commissioners powers therein mentioned in the event of a default by a trustee savings bank in complying with any of those requirements) shall have effect in relation to the requirements of this Act as it has effect in relation to the requirements of the principal Act, but with the modification that the power conferred by subsection (3) thereof to close the account of a bank shall, in the case of default in complying with a requirement of this Act, be limited to the closing of the separate account of the bank of moneys representing current account deposits mentioned in subsection (2) of the last foregoing section.

(2) If—

(*a*) a trustee savings bank fails to comply with a direction given under section 5 of this Act; or

(*b*) the Inspection Committee report to the Commissioners under section 49(2) of the principal Act that a trustee savings bank has failed to remedy a default in complying with a requirement of this Act;

the Commissioners may close the separate account of the bank of moneys representing current account deposits mentioned in subsection (2) of the last foregoing section and may direct that no further sums of money representing current account deposits shall be accepted at the Bank of England or the Bank of Ireland from the trustees of that bank to the Commissioners' account until such time as the Commissioners think fit.

(3) The last foregoing subsection, in so far as it relates to the matters mentioned in paragraph (*b*) thereof, shall have effect in substitution for section 70(1) of the principal Act; and section 70(2) of the principal Act (which authorises the Commissioners, in the circumstances therein mentioned, to reopen an account which has been closed under that section) shall have effect where an account is closed under the last foregoing subsection as it has effect where an account is closed under the said section 70(1).

(4) The powers of closing the account of a trustee savings bank conferred by the said section 49, as it has effect in relation to the requirements of the principal Act, and by the said section 70(1), shall be construed as extending to the closing of the separate account of a bank of moneys representing current account deposits mentioned in subsection (2) of the last foregoing section.

Minor modifications of principal Act and Act of 1958.

9. The principal Act and the Act of 1958 shall have effect subject to the modifications specified in Schedule 2 to this Act, being minor modifications necessitated by, or consequential on, the foregoing provisions of this Act.

Increase in amounts payable to Exchequer and amounts charged on Consolidated Fund.

10.—(1) There shall be paid into the Exchequer any increase attributable to this Act in the sums so payable under section 36 of the principal Act.

(2) There shall be charged on the Consolidated Fund of the United Kingdom any increase attributable to this Act in the sums payable out of the Consolidated Fund under the said section 36.

Interpretation.

11.—(1) In this Act the following expressions have the meanings hereby assigned to them, that is to say—

" Act of 1958 " means the Trustee Savings Banks Act 1958;

" charges scheme " has the meaning assigned to it by section 4(1) of this Act;

" current account " has the meaning assigned to it by section 1(1) of this Act;

" current account deposit " has the meaning assigned to it by section 1(3) of this Act;

" current account service " has the meaning assigned to it by the said section 1(3);

"the Fund" means the Fund for the Banks for Savings;

"principal Act" means the Trustee Savings Banks Act 1954;

"savings account deposit" has the meaning assigned to it by the said section 1(3).

(2) Expressions used in this Act and in the principal Act have the same meanings in this Act as in that Act.

Savings.

12. Nothing in the foregoing provisions of this Act shall affect the operation of—

(*a*) any enactment whereby a power is conferred on any person to invest in ordinary deposits in a trustee savings bank; or

(*b*) section 9(3) of the Finance Act 1956 (which provides for the extension to deposits with a savings bank maintained under a local Act of the relief given to an individual by that section from income tax on ordinary deposits with a trustee savings bank in a case where the Treasury are satisfied that the deposits with the savings bank so maintained correspond with ordinary deposits in a trustee savings bank);

and accordingly in any such enactment and in the said section 9(3) any reference to an ordinary deposit in a trustee savings bank shall be construed as a reference to a savings account deposit in such a bank.

Short title, citation and extent.

13.—(1) This Act may be cited as the Trustee Savings Banks Act 1964, and this Act and the Trustee Savings Banks Acts 1954 to 1958 may be cited together as the Trustee Savings Banks Acts 1954 to 1964.

(2) It is hereby declared that this Act extends to Northern Ireland, and this Act shall also extend to the Isle of Man and the Channel Islands.

SCHEDULES

SCHEDULE 1

MATTERS TO BE COVERED BY THE RULES OF A BANK PROVIDING A CURRENT ACCOUNT SERVICE

The rules of a trustee savings bank which provides a current account service must expressly provide for the following matters.

1. That, except for such salaries and allowances or other expenses or such part thereof as may, according to the rules of the bank and the provisions of this and the principal Act be defrayed therefrom, neither the treasurer, trustees, managers or other persons having direction of the management of the bank shall, directly or indirectly, have any salary, allowance, profit or benefit whatsoever from any current account deposits or their produce or any amounts obtained under any charges scheme.

2. That a current account of a person shall be kept in the books of the bank separately from the account of the savings account deposits, or the special investments, of that person.

3. That, as soon as possible after the end of each accounting period in relation to a current account, that is to say the period beginning with the opening of the account and ending with such day falling not later than six months later as the bank may determine, and any subsequent period of not more than six months from the end of the previous accounting period, which the bank may determine, the bank shall cause to be delivered to the person in whose name the account stands a statement of each sum credited and debited to that account during that period and of the balance on the account at the end of that period.

SCHEDULE 2

MINOR MODIFICATIONS OF PRINCIPAL ACT AND ACT OF 1958

1. Section 1(3)(*c*) of the principal Act shall not be construed as requiring a trustee savings bank to return the produce of current account deposits to depositors.

2. In section 12(1) of the principal Act the reference to the amount received by way of ordinary deposit shall be construed as a reference to the amount received by way of savings account deposit; but the Treasury may by order limit the amount which may be received by a trustee savings bank from any person by way of current account deposit in any one year, or the amount which at any time may stand in its books to the credit of the current account of a person, and subsections (2) and (3) of section 12 of the principal Act shall have effect in relation to an order under this paragraph as they have effect in relation to an order under that section.

3. Regulations made under section 21(1) of the principal Act may require different declarations from a depositor on opening an account in respect of savings account deposits and on opening a current account.

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4. Section 21(4)(*d*) of the principal Act and section 22 thereof shall not have effect in relation to transactions concerning current accounts.

5. In section 43(1) any reference to an ordinary deposit shall be construed as a reference to a savings account deposit.

6. Any reference in section 49(4) or 56(4) of, or in Schedule 1 to, the principal Act to a pass-book or a deposit book shall be construed as a reference to a pass-book or deposit book in use by the bank for the purpose of savings account deposits or special investments, as the case may require.

7. In paragraph 1(2) of the said Schedule, the reference to the benefit of deposits and the produce thereof shall be construed as not including a reference to the benefit of current account deposits or the produce thereof.

8. In paragraph 3 of the said Schedule, the reference to a transaction of repayment shall not include a reference to a transaction of repayment of moneys standing to the credit of a current account.

9. In paragraph 6 of the said Schedule, the reference to an extracted list of the depositors' balances shall be construed as a reference to an extracted list of the balances of the depositors standing to the credit of the accounts of their savings account deposits and special investments, and paragraph 7 of that Schedule shall be construed accordingly.

10. In section 3(2) of the Act of 1958 for the words " the account of a trustee savings bank " there shall be substituted the words " an account of a trustee savings bank ", and for the words " (at the rate for the time being fixed for such of those sums as represent payments under section 26 of the principal Act) " there shall be substituted the words " (at the rate for the time being fixed for such of the sums credited to that account as represent payments under section 26 of the principal Act) ".

Table of Statutes referred to in this Act

Short Title	Session and Chapter
Bills of Exchange Act 1882	45 & 46 Vict. c. 61.
Merchant Shipping Act 1894	57 & 58 Vict. c. 60.
Trustee Savings Banks Act 1954	2 & 3 Eliz. 2. c. 63.
Finance Act 1956	4 & 5 Eliz. 2. c. 54.
Trustee Savings Banks Act 1958	6 & 7 Eliz. 2. c. 8.